

September saw a change of guard at RBI. Former IMF chief economist Raghuram Rajan formally took charge as RBI governor, replacing Duvvuri Subbarao, who had had a tumultuous five years in the hot seat. The announcement had already been made in August, and the market had high expectations from the new governor, whose calling card was that he had warned of the sub-prime mortgage as early as in 2005, and that too at a gathering where the US Fed chief of the time Alan Greenspan was present.

On his very first day in office, Rajan announced a bunch of proposals that helped boost confidence in the money and stock markets. Two among them stood out. One was to attract deposits from NRIs and the other was to sell dollars directly to oil marketing companies, which needed the currency for importing oil. Oil companies had to buy dollars from time to time to pay their import bills, and whenever they bought dollars from the open market, it would push up the cost of the dollars. By selling the dollars directly to oil marketing companies, RBI could ensure that the rupee did not weaken further on account of the extra demand for dollars in the market.

Neither of these measures was unconventional; in fact, RBI had deployed them in the past whenever the rupee was under pressure. In August 1998, when the rupee had weakened following the economic sanctions by the US and some other developed nations after the Pokhran tests, RBI had issued Resurgent India Bonds to attract deposits from NRIs and People of Indian Origin. The response was overwhelming, with the RBI collecting around \$4.2 billion through these bonds. But Rajan brought a crucial variation to the NRI deposit scheme. NRIs were paid 3.5 per cent above the market rate for their dollars. The move turned out to be a masterstroke though Rajan much later confessed that it was not his idea and that he had initially thought of it as a stupid measure.

There were many other measures announced by Rajan, such as the promise of announcing new bank licenses shortly, debt market reforms and permission to banks to raise more foreign capital. The stock market was fired up by these announcements. It was anyway looking for some confidence-boosting signals. Rajan already had an impeccable track record, and the proposals announced on his very first day in office sent out a clear message that here was a man in a hurry.

There was no looking back for the market after that. FIIs rushed in to buy, and bears were forced to square up their short positions, mostly at a loss. From 28 August – the day the rupee fell the hardest and to its lowest